

VE SCHEMES

	ENROLMENT DURATION (YEARS)	EXPENDITURE DURATION (YEARS)	BENEFICIARIES (IN MILLION)	CENTRAL OUTLAY (₹ CRORE)
Scheme A	2	3	21	23,000
Scheme B	2	6	3	52,000
Scheme C	2	6	5	32,000
Internship Programme (Phase-1)	2	3	3	19,000
Internship Programme (Phase-2)	3*	4*	7	44,000
Upgrade of ITIs	NA	5	2	30,000
Total			41	2,00,000

* STARTING FROM THE THIRD YEAR, **SOURCE** BUDGET DOCUMENTS

labour because Schemes A and B are for first-timers, they have a learning curve,” explains Sumita Dawra, Secretary in the Ministry of Labour and Employment. She tells *BT* that these are likely to be rolled out by year-end.

Union Labour and Employment Minister Mansukh Mandaviya is also monitoring the progress of the schemes and has called for their expeditious roll-out.

THE SKILL GAP

A paradox of India’s labour market is high unemployment, often coupled with a large number of vacancies due to what industry calls the skill gap. Citing estimates, the Economic Survey 2023-24 had said that 51.25% of the youth are deemed employable. This means that one in two graduates is not yet readily employable straight out of college. The government’s National Career Service portal also shows this divergence, with often a wide gap be-

tween the number of active vacancies and the candidates shortlisted.

Industry experts note that this is because candidates do not have the requisite skills—soft skills as well as the technical skills needed in the fast-changing landscape.

“Technology is ever evolving. While there are opportunities available in each and every sector, the available talent pool is limited, and there is definitely a skill gap. Investment in upgrading ITIs and defining the curriculum with industry will help bridge this,” says Varun Sachdeva, SVP & APAC Head of talent solutions firm NLB Services. He points out that even many non-tech sectors are now using Generative Artificial Intelligence (AI), which will also require skilling.

AN EYE ON INDIA INC.

All the schemes are based on feedback from industry and hinge on industry participation. Companies seem interested in hiring workers

through these schemes for now.

“The ELIs were a necessity... This was a key ask of the industry for a long time. What the PLI has done for the manufacturing sector, I am 100% sure the ELI can do for employment and skilling,” says Suchita Dutta, Executive Director of the Indian Staffing Federation.

Many companies are already planning to hire workers through these schemes. Vivek Lohia, Managing Director of railway freight wagon manufacturer Jupiter Wagons, points out that the Budget announcements allow the company to integrate new employees seamlessly and build their skills from scratch, which can be more effective than adapting experienced workers to the company’s practices. “A skill taught is a skill learnt. With our engineering-heavy workforce, this initiative provides us the opportunity to train and develop freshers to align with our company’s specific needs,” he says.